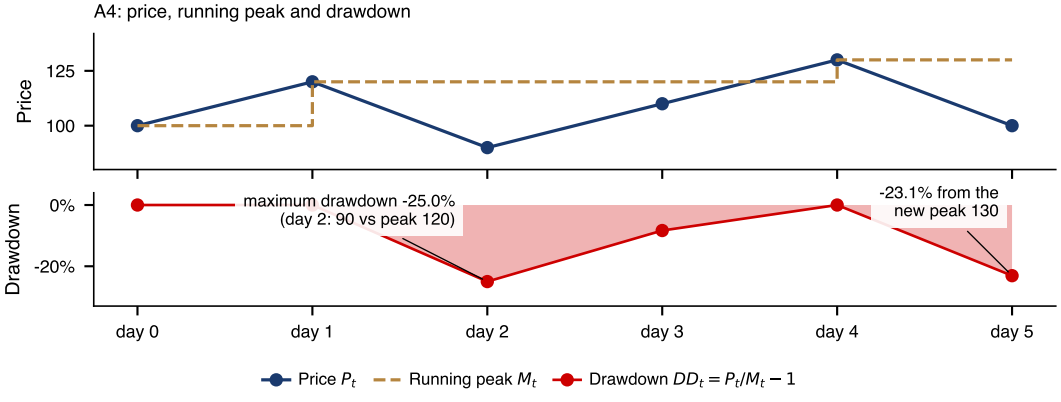
A4: price, running peak and drawdown
Price
125
100
Drawdown
0%
-20%
maximum drawdown -25.0%
(day 2: 90 vs peak 120)
-23.1% from the
new peak 130
day 0
day 1
day 2
day 3
day 4
day 5
Price P_t
Running peak M_t
Drawdown $DD_t = P_t/M_t - 1$